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STRATEGIC TRANSFORMATION PROGRAM

Operational Velocity & Financial Architecture

Executing the pivot to an AI-enabled operating model while maintaining strict capital discipline.

DATE
Q1 2026

PRESENTER
Office of the CIO

Q1 2026 EXECUTIVE SUMMARY

Operational Shift to "Velocity" Metrics Has Eliminated Daily Friction for Fee-Earners, Unlocking $4.2M in Annualized Billable Capacity.

STRATEGIC INITIATIVE | OPERATIONAL TRANSFORMATION (CURRENT VS. FUTURE STATE) | EBITDA IMPACT

Connectivity Overhaul
Global WiFi 6E Deployment & Mesh Network Integration

KPI	Baseline	Target	Delta
Network Latency	120ms	<20ms	-83%
Ticket Vol. (Wkly)	450	45	-90%

$2.4M
RECOVERED BILLABLE HOURS
Repurposed non-productive time

AI Knowledge Core
Proprietary LLM Retrieval & Automated Synthesis

KPI	Baseline	Target	Delta
Research Cycle	4.0 hrs	0.5 hrs	-87%
Asset Retrieval	Manual	Instant	Real-time

$1.8M
NET NEW REVENUE
Attributable to bid velocity increase

Zero Trust (SASE)
Identity-First Security & Perimeterless Architecture

KPI	Baseline	Target	Delta
Gov. Audit	Fail	Pass	Cleared
Access Method	VPN	IAM/SASE	Seamless

New
TAM ACCESS
Unlocked via Defense certification

Assumptions: (1) Financial impact based on 15 mins/day recovered capacity per consultant (n=200 fee-earners) at $400/hr blended rate × 48 weeks. (2) $1.8M AI value attributed to Net New Revenue via increased bid velocity. (3) Operational baselines derived from Q4 2025 logs: Latency (120ms→<20ms), Tickets (450→45/wk), Research (4.0→0.5 hrs). (4) Compliance shift assumes successful Defense audit clearance.

FINANCIAL ARCHITECTURE: 2024–2026

Self-funding "Clear the Deck" strategy limits net budget expansion to $15M, despite a 153% CAGR investment in high-growth AI capabilities.

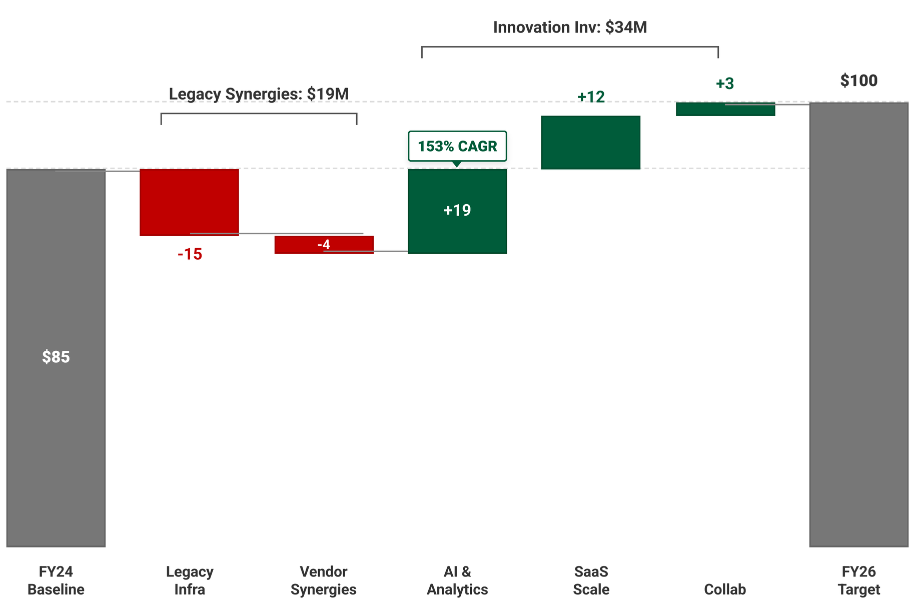
EXECUTIVE SUMMARY
The firm is successfully executing a "pivot-to-growth" financial strategy. By aggressively rationalizing legacy infrastructure, we are funding next-gen AI capabilities with minimal impact on the baseline OpEx run rate (+8.5% total increase over 3 years).

TABLE 1: IT BUDGET REALLOCATION ($M)

Cost Center	FY24	FY25	FY26	Net Δ	CAGR
AI & Analytics	3.5	12.0	22.5	+$19.0	153%
Breakdown: GenAI Tools	0.5	4.5	8.5	+8.0	311%
Data Infrastructure	2.0	5.0	8.0	+6.0	100%
AI Talent	1.0	2.5	6.0	+5.0	145%
Collaboration	12.5	14.0	15.5	+$3.0	11%
SaaS Platforms	22.0	28.0	34.0	+$12.0	24%
Legacy Infrastructure	38.0	30.5	23.0	($15.0)	-22%
Vendor Consolidation	9.0	7.0	5.0	($4.0)	-26%
TOTAL SPEND	85.0	92.5	100.0	+$15.0	8.5%

BUDGET WALK: "CLEARING THE DECK" FOR INNOVATION

Gross Investment: +$34M | Legacy Synergies: -$19M | Net Funding Ask: +$15M



Assumptions: (1) Total IT Budget expansion limited to $100M (FY26) from $85M (FY24). (2) 'Clear the Deck' strategy reallocates $19M from Legacy Infra to Innovation. (3) AI spend modeled at 153% CAGR. (4) Legacy ERP retirement yields confirmed $2.5M run-rate savings.

TARGET OPERATING MODEL

Restructured leadership creates clear P&L accountability, ensuring 22.5% of budget is directly allocated to revenue-generating activities.

STRATEGIC STEERCO (MONTHLY)
Mandate: Capital allocation (> $250k), Risk acceptance, Strategy alignment.
Members: CIO, CFO, CRO, CEO (Quarterly)

ARCHITECTURE REVIEW BOARD (WEEKLY)
Mandate: Tech Stack compliance, Security reviews, Vendor selection.
Members: Chief Architect, CISO, Pillar VPs

STRATEGIC CORE
CIO
Value Architect

OFFICE OF THE CIO
- **Vendor Mgmt:** Strategic Negotiations
- **IT Finance:** TCO & Chargeback Models
- **M&A:** Tech Due Diligence

PRIMARY KPI
Innovation Ratio > 25%
(Spend on New Capability / Total Spend)

VP, Data & AI — $22.5M
Product Lines
- GenAI Center of Excellence
- Predictive Analytics
- Data Monetization

Tech Stack
Azure OpenAI, Databricks, Pinecone (Vector DB), Python

Talent: 12 Strategic / 4 Tactical — KPI: Model ROI > 3x

VP, Bus. Platforms — $18.5M
Product Lines
- Core ERP (Finance)
- Quote-to-Cash (CRM)
- HCM (Workday)

Tech Stack
SAP S/4 HANA, Salesforce, MuleSoft, Workday

Talent: 28 Strategic / 10 Tactical — KPI: Uptime 99.99%

VP, User Enablement — $2.1M
Product Lines
- Modern Workplace
- Digital Academy
- Citizen Developer Gov.

Tech Stack
M365 Copilot, ServiceNow, Power Platform, WalkMe

Talent: 8 Strategic / 2 Tactical — KPI: eNPS > 40

CISO / VP Infra — $41.0M
Product Lines
- Platform Eng. (IDP)
- Cloud FinOps
- Zero Trust Security

Tech Stack
AWS, Terraform, Kubernetes, Zscaler, CrowdStrike

Talent: 35 Strategic / 15 Tactical — KPI: Cloud Unit Cost

Assumptions: (1) Leadership model defined as 4-pillar structure: Data & AI, Business Platforms, User Enablement, Infra/Security. (2) Budget attribution: Infra/Security ($41M), Data/AI ($22.5M), Platforms ($18.5M), Enablement ($2.1M). (3) Headcount baselines: 35 FTEs (Infra), 28 (Platforms), 12 (Data), 8 (Enablement).

Q1 EXECUTION RISK IS CONCENTRATED ON LEGACY ERP RETIREMENT; DELAY IN DECOMMISSIONING THREATENS GENAI FUNDING SOURCE.

Efficiency funds innovation: **Decommissioning the Legacy ERP ($2.5M run-rate savings)** is the critical path to capitalizing the GenAI Knowledge Agent, ensuring a net-neutral budget impact.

STRATEGIC INITIATIVE	STATUS	J F M A M J J A S O N D	RISK PROFILE
REVENUE ENABLEMENT *(Hard Value: Top-Line Growth)*			
1. Global GenAI Knowledge Agent	On Track	Phase 1 Dev [RK] ◆	High
4. Client Service Chatbot 2.0	On Track	Global Launch [AL] ◆	Low
6. Sales CRM AI Integration	On Track	API Integration [BK]	Med
RISK REDUCTION *(Soft Value: Compliance & Resilience)*			
2. SASE / Zero Trust Architecture	On Track	Global Rollout [CN]	Low
3. Data Warehouse Modernization	At Risk	Data Remediation [DP]	High
CAPITAL EFFICIENCY *(Hard Value: OpEx Savings)*			
7. Cloud FinOps Controls	On Track	Policy Implementation [ER]	Low
5. Legacy ERP Retirement	Critical	Decom Complete [VM] ◆	High
8. Supply Chain Intelligence	On Track	Vendor Analysis [FT]	Med
TALENT & BRAND *(Soft Value: Experience & ESG)*			
9. Employee Experience Platform	On Track	Portal Unification [GU]	Low
10. Green IT Dashboard	On Track	ESG Compliance [HV] ◆	Low

Assumptions: (1) Critical Path logic: GenAI pilot funding is strictly contingent on $2.5M ERP savings. (2) Timelines assume Phase 1 Dev completion by June. (3) Mitigation trigger: >2 week slip in ERP decommission initiates immediate hiring freeze.

PATH FORWARD

Immediate Board Actions Required to Secure Q2 Momentum.

1. **Authorize 'Pivot-to-Growth' Investment Tranche ($19M)**
Formal sign-off on the reallocation from Cost Center 102 (Infra) to 305 (AI & Analytics). This tranche specifically funds the procurement of H100 GPU instances and the onboarding of the Data Science "Tiger Team." Requires 2/3 majority vote.
Owner: CFO | **Deadline:** Feb 15 | **Key Deliverable:** Updated Capital Allocation Ledger

2. **Execute 'Kill Switch' for Legacy SAP ECC 6.0**
Authorize final shutdown sequence. Includes data archival verification (to Snowball Edge), regulatory compliance check (GDPR/CCPA retention), and issuance of contract termination notice to SAP SE.
Owner: CIO | **Deadline:** Mar 31 | **Key Deliverable:** Decommissioning Certificate

3. **Formalize Digital Governance Charter**
Ratify the new IT SteerCo mandate (Article 4.2), granting the CIO veto rights on any new technical debt creation and establishing a monthly "Architecture Review" cadence to prevent shadow IT proliferation.
Owner: Board Chair | **Deadline:** Feb 28 | **Key Deliverable:** Signed Governance Charter

NEXT STRATEGIC MILESTONE

April 15
Q1 Quarterly Business Review

Critical Success Factors for Review:
- **GenAI Pilot:** >80% user adoption in pilot group and < 5% hallucination rate in RAG responses.
- **SASE Audit:** Zero critical findings in pre-assessment DoD audit for CMMC 2.0.
- **Finance:** Validated $600k savings (Q1 realized) via AP automation.

Q2 Forward Look:
- Scale GenAI to 500 users.
- Initiate "Data-as-a-Service" GTM.
- Finalize vendor consolidation.

Note: Failure to approve Item 2 by Feb 28 will trigger the risk mitigation plan outlined in Slide 4.